discussed in section X, and the estimated compliance costs and burdens of the amendments under the PRA are discussed in section IX.

2. Significant Issues Raised by Public Comments

In the Proposing Release, the Commission requested comment on any aspect of the IRFA, and particularly on the number of small entities that would be affected by the proposed amendments, whether there are more efficient or less burdensome ways for the Commission to modernize its collection of information from registrants, the existence or nature of the potential impact of the proposed amendments on small entities discussed in the IRFA, and whether there are any Federal rules that duplicate, overlap, or conflict with the proposed amendments.[895]

One commenter disagreed that structuring broker-dealer reports is necessary because regulators receive periodic FOCUS reports that are already encoded and there is no need to make broker-dealer financial statements machine-readable.[896] As discussed earlier in this release,[897] the Commission disagrees with the commenter's point, because the annual broker-dealer audited reports include more disclosure—such as the notes to the financial statements and the exemption reports—than the periodic FOCUS reports do. Another commenter stated that requiring firms to file documents in structured data puts a greater burden on smaller firms than larger firms, and requested that the Commission amend Regulation S-K to require larger investors to convert their material contracts into XBRL format and then file them with the Commission.[898] However, the types of firms that are subject to the structured data formatting requirements in this release are

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895 See Proposing Release, 88 FR at 24003.

896 See Integrated Solutions Letter at 4.

897 See supra sections IV.A, VII.A, X.C.2.b, and X.E.1.

898 See Greg Medcraft, Chairman of Australian Finance Group Ltd (May 22, 2023).

generally not the same types of firms that are subject to Regulation S-K, so this additional requirement would not equalize the burden between small and large firms.

3. Small Entities Subject to Final Amendments

The final amendments include changes that will affect brokers. For purposes of Commission rulemaking in connection with the RFA,[899] a small entity includes a broker or dealer that: (1) had total capital (net worth plus subordinated liabilities) of less than $500,000 on the date in the prior fiscal year as of which its audited financial statements were prepared pursuant to paragraph (d) of Rule 17a-5 under the Exchange Act,[900] or, if not required to file such statements, a broker-dealer with total capital (net worth plus subordinated liabilities) of less than $500,000 on the last day of the preceding fiscal year (or in the time that it has been in business, if shorter); and (2) is not affiliated with any person (other than a natural person) that is not a small business or small organization.[901] Based on FOCUS Report and Form BD data, the Commission estimates that as of March 31, 2024, approximately 723 broker-dealers might be deemed small entities for purposes of this analysis.

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899 Although Section 601(b) of the RFA defines the term "small entity," the statute permits agencies to formulate their own definitions. The Commission has adopted definitions for the term "small entity" for the purposes of Commission rulemaking in accordance with the RFA. Those definitions, as relevant to this rulemaking, are set forth in Rule 0-10 under the Exchange Act, 17 CFR 240.0-10. See Exchange Act Release No. 18451 (Jan. 28, 1982), 47 FR 5215 (Feb. 4, 1982) (File No. AS-305).

900 17 CFR 240.17a-5(d).

901 See 17 CFR 240.0-10(c). See also 17 CFR 240.0-10(i) (providing that a broker or dealer is affiliated with another person if: such broker or dealer controls, is controlled by, or is under common control with such other person; a person shall be deemed to control another person if that person has the right to vote 25% or more of the voting securities of such other person or is entitled to receive 25% or more of the net profits of such other person or is otherwise able to direct or cause the direction of the management or policies of such other person; or such broker or dealer introduces transactions in securities, other than registered investment company securities or interests or participations in insurance company separate accounts, to such other person, or introduces accounts of customers or other brokers or dealers, other than accounts that hold only registered investment company securities or interests or participations in insurance company separate accounts, to such other person that carries such accounts on a fully disclosed basis).

4. Projected Reporting, Recordkeeping, and Other Compliance Requirements

In general, the amendments to Rule 17a-5 that implicate broker-dealers that are small entities would require that a broker-dealer: (1) file its annual reports and related annual filings electronically on EDGAR using structured data; and (2) keep the original oath or affirmation for a period of not less than six years, the first two in an easily accessible place in accordance with the requirements of Rule 17a-4.[902]

As stated above, it has been the staff's experience that electronic filing has been practical and efficient. It also has been the staff's experience that electronic filing has been positively received by the broker-dealers who are currently filing their annual reports electronically on EDGAR. Based on these positive experiences with electronic filing and as part of its efforts to modernize the methods by which it collects information from registrants, the Commission is amending certain rules and forms, including certain rules and forms that would impact broker-dealers that are small entities.

With respect to the structured data requirements, XBRL requirements for public company financial statements have been observed to increase the ease and efficiency of analyzing those structured disclosures (e.g., allowing for efficient comparisons of disclosures across multiple reporting entities and multiple time periods).[903] Such benefits have encompassed small public companies as well as large public companies, and have accrued to both public and regulatory

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902 17 CFR 240.17a-5. The substantive amendments to the FOCUS Report that impact broker-dealers are limited to stand-alone swap dealers which are not expected to be small entities. The amendment to allow electronic signatures will not impact small broker-dealers because they will continue to have the option to use manual signatures.

903 See supra section X.C.1.b.

entities.[904] Therefore, the structured data requirements under the amendments would facilitate the use of the information reported by broker-dealers in their annual reports and related filings to support Commission staff conducting risk assessment and enforcement activities,[905] or, with respect to the public portion of the annual reports and related filings, information intermediaries (analysts, researchers and media) and investors conducting research to interpret or improve processing of financial information.[906]

The compliance costs of the amendments relating to the requirement to file on EDGAR will not be significant. Smaller entities that are broker-dealers will need to familiarize themselves with the EDGAR system; however, the familiarization process will not be particularly burdensome. Approximately 1,769 out of an estimated 3,267 broker-dealers, which constitutes more than half of broker-dealers, have chosen to voluntarily file their respective annual reports on EDGAR. Furthermore, with respect to the structured data requirements, based on observed trends in XBRL compliance costs for small public companies,[907] the compliance costs for broker-dealers that are small entities would be modest and would continue to decrease over time.

There will be benefits to small entities resulting from filing on EDGAR. For example, once a smaller entity has familiarized itself with EDGAR, that entity can be confident that required filings will be timely because the public portion of the filing is immediately available on the Commission's website and the filer has received a confirming email. Such regulatory certainty is of benefit to registrants generally, including broker-dealers that are small entities.

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904 See id.

905 See supra note 758758.

906 See supra notes 755755 and 756756.

907 See supra note 807807.

With respect to the requirement to maintain a copy of the oath or affirmation, this requirement will not be unduly burdensome to small entities that are broker-dealers. A broker-dealer filing its annual reports in paper maintains a hard copy of the filing cover sheet as a record of the oath or affirmation. The amendment in paragraph (e)(2)(iii) of Rule 17a-5 is designed to ensure that this requirement is preserved in the context of a broker-dealer filing its annual reports electronically on EDGAR.

5. Significant Alternatives

The RFA directs the Commission to consider alternatives that would accomplish our stated objectives, while minimizing any significant economic impact on small entities. The Commission considered alternatives with respect to whether to utilize the EDGAR system. However, given that approximately half of all broker-dealers are voluntarily utilizing EDGAR for filing their respective annual audited reports, and that EDGAR is the primary system for companies and others submitting documents under the Federal securities laws and available for all registered filers, alternative electronic platforms would not be practical or efficient. Further, developing an alternative technology platform for intake of annual audited reports or change in SRO membership would be time consuming and expensive relative to using an existing Commission system that is in use by a large number of broker-dealers. The Commission considered exempting small entities from the EDGAR filing requirement and allowing small entities to make submissions via dedicated email or similar means, but there are significant efficiencies for Commission staff and other users of regulatory disclosure information in having the forms submitted to a single, uniform platform, and, as mentioned, EDGAR is the Commission's primary system for the receipt and publication (in the case of non-confidential submission) of such information. Exempting small entities from the EDGAR filing requirement would make aggregation of the data from regulatory disclosures less complete, which could

detract from the usefulness of such data in illustrating the conditions of Commission-regulated entities in the financial markets.

The Commission also considered alternatives with respect to the structured data requirements, including the alternative of removing broker-dealers that are smaller entities from the structured data requirements.[908] However, given users of the information disclosed by broker-dealers such as investors, broker-dealer customers, other market participants, and/or regulatory users would be required to manually collect unstructured data in order to analyze it (or rely on third parties to do so), any cost savings arising from such an alternative would not justify the limitations and difficulties that would arise for these users of the information. .

Likewise, the Commission considered changing the actual forms themselves—either by consolidating or simplifying the information to be submitted—for small entities, but allowing a subset of entities to submit different forms—and accompanying information—would reduce the usability and comparability of the information contained in disclosures. The cost savings that might arise from devising different forms for small entities would not justify the limitations and difficulties that would arise for investors, market participants and/or regulatory users of the information.[909]

Finally, the Commission considered allowing small broker-dealers a longer timeframe to file on EDGAR so they have time to familiarize themselves with the system. However, the Commission does not believe an additional extension of time would provide meaningful

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908 See supra section X.E.1.

909 To be clear, this release would not require small entities to submit more—or different—information on particular forms. As mentioned previously, the release would not change the substantive content of Commission forms with this rulemaking, but would change the manner in which such forms are submitted to the Commission.

additional benefit to these entities and could result in inordinately stale financial data being available to the Commission staff, investors and other market participants.

XII. Other Matters

Pursuant to the Congressional Review Act,[910] the Office of Information and Regulatory Affairs has designated these amendments as not a "major rule", as defined by 5 U.S.C. 804(2). The Commission considers the provisions of the final amendments to be severable to the fullest extent permitted by law. "If parts of a regulation are invalid and other parts are not," courts "set aside only the invalid parts unless the remaining ones cannot operate by themselves or unless the agency manifests an intent for the entire package to rise or fall together."[911] "In such an inquiry, the presumption is always in favor of severability."[912] Consistent with these principles, while the Commission believes that all provisions of the final amendments are fully consistent with governing law, if any of the provisions of these amendments, or the application thereof to any person or circumstance, is held to be invalid, the Commission intends that such invalidity shall not affect other provisions or application of such provisions to other persons or circumstances that can be given effect without the invalid provision or application. In particular, the amendments relating to the requirement to file materials on EDGAR operate independently from the amendments requiring those materials to be filed or submitted in a structured data format.

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910 5 U.S.C. 801 et seq.

911 Bd. of Cnty. Commissioners of Weld Cnty. v. EPA, 72 F.4th 284, 296 (D.C. Cir. 2023); see K Mart Corp. v. Cartier, Inc., 486 U.S. 281, 294 (1988).

912 Cmty. for Creative Non-Violence v. Turner, 893 F.2d 1387, 1394 (D.C. Cir. 1990).

Statutory Authority

The amendments contained in this release are being adopted under the authority in sections 6, 7, 8, 10, and 19(a) of the Securities Act of 1933,[913] sections 3, 12, 13, 14, 15, 15A, 15F, 17, 17A, 19, 23, 30, and 35A of the Securities Exchange Act of 1934,[914] section 319 of the Trust Indenture Act of 1939,[915] sections 8, 30, 31, and 38 of the Investment Company Act of 1940[916] and section 761(b) of the Dodd-Frank Wall Street Reform and Consumer Protection Act.[917]

List of Subjects

17 CFR Part 202

Administrative practice and procedure, Reporting and recordkeeping requirements, Securities.

17 CFR Part 232

Administrative practice and procedure, Electronic filing, Incorporation by reference, Investment companies, Reporting and recordkeeping requirements, Securities.

17 CFR Part 240

Administrative practice and procedure, Brokers, Confidential business information, Fraud, Reporting and recordkeeping requirements, Securities, Swaps.

17 CFR Part 249

Brokers, Investment companies, Reporting and recordkeeping requirements, Securities.

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913 15 U.S.C. 77f, 77g, 77h, 77j, and 77s(a).

914 15 U.S.C. 78c, 78l, 78m, 78n, 78o, 78o-3, 78o-10, 78q, 78q-1, 78s, 78w, 78dd and 78ll.

915 15 U.S.C. 77sss.

916 15 U.S.C. 80a-8, 80a-29, 80a-30, and 80a-37.

917 15 U.S.C. 8341.

17 CFR Part 249b

Brokers, Reporting and recordkeeping requirements, Securities.

Text of the Amendments

In accordance with the foregoing, title 17, chapter II of the Code of Federal Regulations is amended as follows:

PART 202—INFORMAL AND OTHER PROCEDURES

1. The general authority citation for part 202 continues to read as follows:

Authority: 15 U.S.C. 77s, 77t, 77sss, 77uuu, 78d–1, 78u, 78w, 78*ll*(d), 80a–37, 80a–41, 80b–9, 80b–11, 7201 *et seq.,* unless otherwise noted.

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2. Amend § 202.3 by revising and republishing paragraphs (b)(2) and (3) to read as follows:

§ 202.3 Processing of filings.

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(b) * * *

(2) Applications for registration as national securities exchanges, or exemption from registration as exchanges by reason of such exchanges' limited volume of transactions filed with the Commission are routed to the Division of Trading and Markets, which examines these applications to determine whether all necessary information has been supplied and whether all required financial statements and other documents have been furnished in proper form. Defective applications may be returned. The files of the Commission and other sources of information are considered to determine whether any person connected with the applicant appears to have engaged in activities which would warrant commencement of proceedings on the question of

denial of registration. The staff confers with applicants and makes suggestions in appropriate cases for amendments and supplemental information. Where it appears appropriate in the public interest and where a basis therefore exists, denial proceedings may be instituted. Within 90 days of the date of publication of a notice of the filing of an application for registration as a national securities exchange, or exemption from registration by reason of such exchanges' limited volume of transactions (or within such longer period as to which the applicant consents), the Commission shall by order grant registration, or institute proceedings to determine whether registration should be denied as provided in § 240.19(a)(1) of this chapter.

(3) Notice forms for registration as national securities exchanges pursuant to section 6(g)(1) of the Securities Exchange Act of 1934 (15 U.S.C. 78f(g)(1)) filed with the Commission are routed to the Division of Trading and Markets, which examines these notices to determine whether all necessary information has been supplied and whether all other required documents have been furnished in proper form. Defective notices may be returned.

PART 232—REGULATION S-T—GENERAL RULES AND REGULATIONS FOR ELECTRONIC FILINGS

3. The general authority citation for part 232 continues to read as follows:

Authority: 15 U.S.C. 77c, 77f, 77g, 77h, 77j, 77s(a), 77z-3, 77sss(a), 78c(b), 78*l*, 78m, 78n, 78n-1, 78*o*(d), 78*o*-10, 78w(a), 78*ll*, 80a-6(c), 80a-8, 80a-29, 80a-30, 80a-37, 7201 *et seq.*; and 18 U.S.C. 1350, unless otherwise noted.

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4. Amend § 232.100 by revising paragraph (c) to read as follows:

§ 232.100 Persons and entities subject to mandated electronic filing.

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